

# **Fearnleys Tanker Market Wrap-up Apr 2025**

Apr 30, 2025

Jonathan S. Staubo

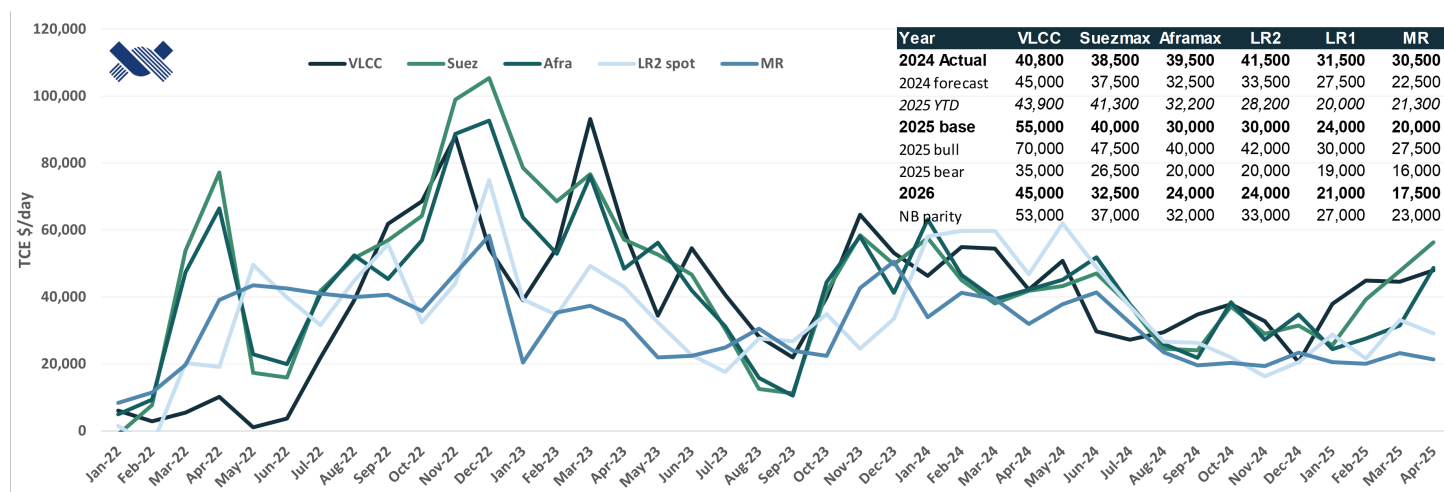
# Choppier macro picture, tankers ride the waves

## Summary and outlook

In last month's report we questioned what was going to give, as fundamentals appeared stronger than rates suggested. Crude tanker rates have firmed in April, to the highest for VL, Suez and Aframax on average since January last year. Going forward, the normal seasonal downside into the summer may be counterweighed by increasing volumes from South America and OPEC+ and rates overall should remain strong for the season.

The volatile geopolitical and macroeconomic landscape is, however, cause for concern, and gives downside risks. Although this is mostly into next year, it could also affect proceedings nearer term as greater uncertainty may deter longer-haul shipments etc.

## Rates and forecast

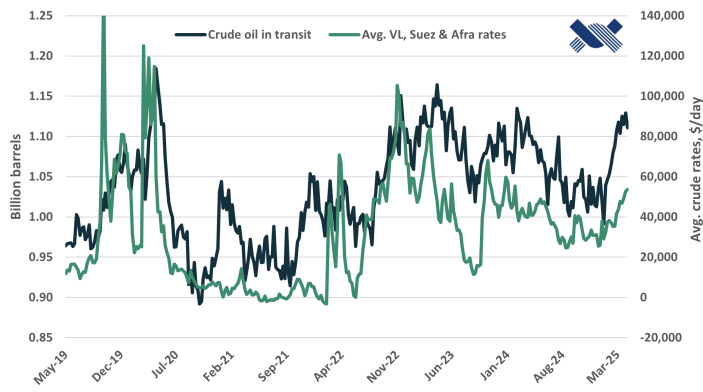


Source: Fearnleys, Baltic Exchange

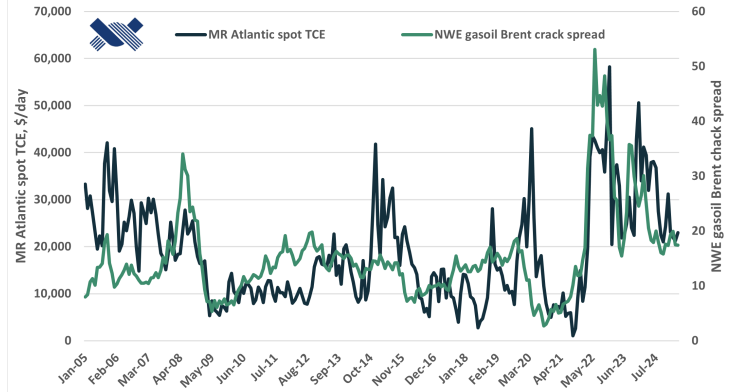
While volumes overall have risen further in April, tonne-miles have indicatively declined slightly on less Atlantic-East movements for the biggest vessels especially. Some of that has been due to the trade wars and general uncertainty, and most recently also a narrower arbitrage. A declining Dubai physical premium suggests there may be something to the 'sources' saying that the OPEC+ will further unwind cuts in June, which will lift tanker volumes, but may reduce the West-East flow somewhat.

Judging from crude oil in transit, there may be some more upside potential for rates, especially if volumes rise further in coming months, although a rebound for Atlantic-East trade may be needed. Product tanker rates have YTD been well supported by resilient refinery margins and relatively strong global refinery runs.

## Crude oil in transit vs. crude tanker rates



## Northwest Europe crack spreads vs. MR rates

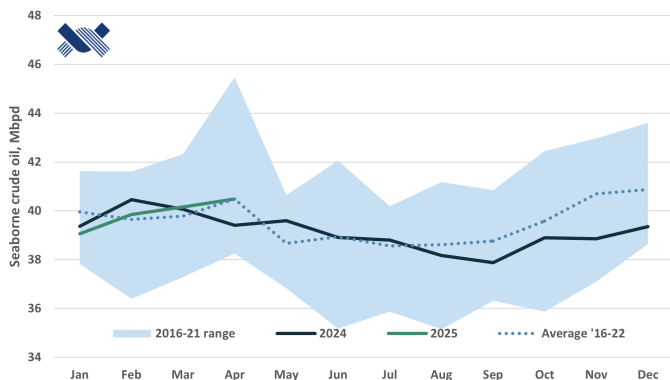


Source: Vortexa, Fearnleys, Baltic Exchange, Bloomberg

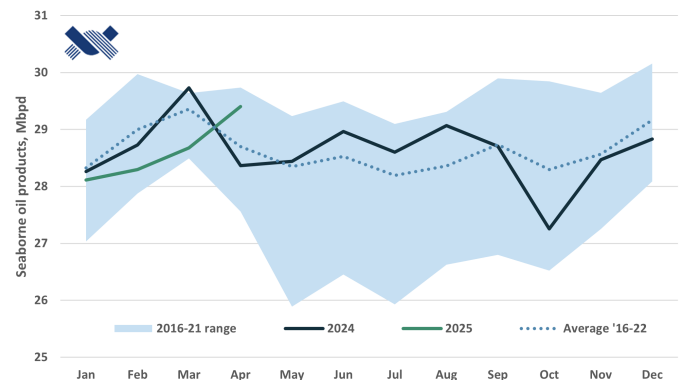
## Oil and tanker demand development

Seaborne volumes have remained healthy over the last month, and there should be more to come. The OPEC+ will unwind cuts quicker than expected in May, and potentially also opt for a bigger hike in June according to 'sources'. However, between some potential compensation cuts (although, why should the over-producers all of a sudden start to comply now..?) and higher domestic consumption going forward, exports upside may be relatively small. For tanker demand, the timing and size of production increases from Brazil and Guyana will set the pace. Combined, OPEC+ increases and higher Americas production are likely to (at least partly) offset the normal seasonal downturn into the summer this year.

## Crude tanker volumes, ex. Iran



## Product tanker volumes, ex. Iran

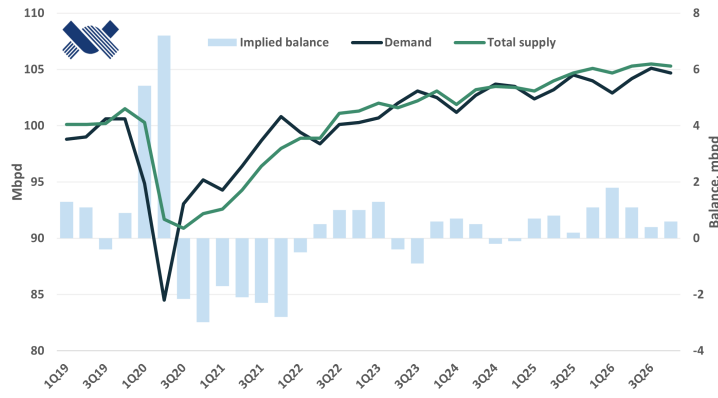


Source: Vortexa

While oil prices remain under some pressure, the physical market still looks relatively tight, with inventories flattish YTD and the forward curve still in backwardation. This contrasts with the IEA's expected 0.7 mbdp oversupplied market this year - also in Q1, and could be part of the reason why the OPEC+ is emboldened to ease cuts somewhat near-term. Next year the IEA expects the oil market to be nearly 1 mbdp oversupplied, which does not really leave room for any cut easing, suggesting other motives may be behind.

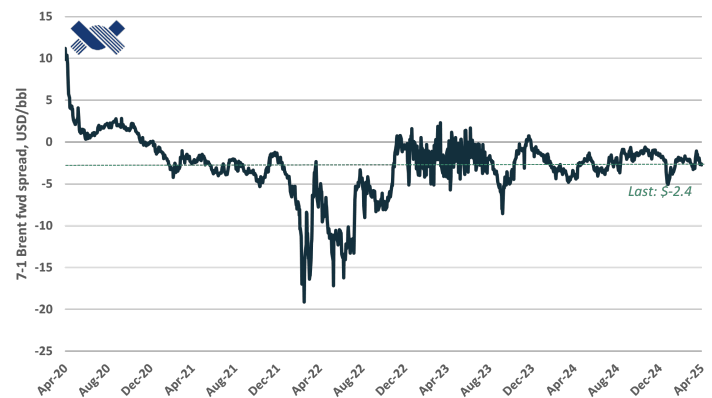
At current prices, U.S. shale is unlikely to continue growing. Some downside is probably more likely, which could mean there is some downside risk to the IEA's estimates. However, that may also be counterweighed by negative impact on demand from U.S. tariffs unless these are walked back on or sorted in other ways. Hence, there may be downside risk to tanker volume growth next year too.

## IEA oil market balance



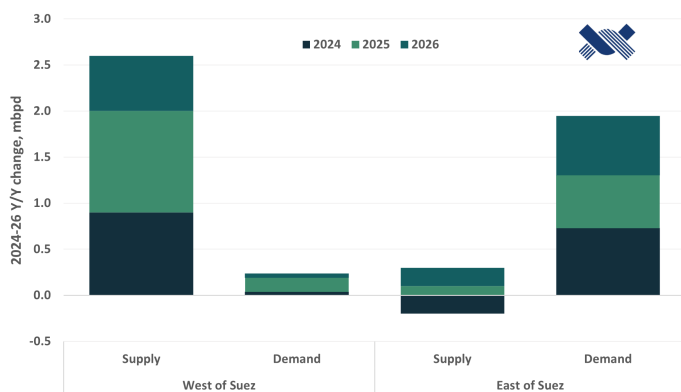
Source: IEA, Bloomberg

## Brent 7-1 month forward spread



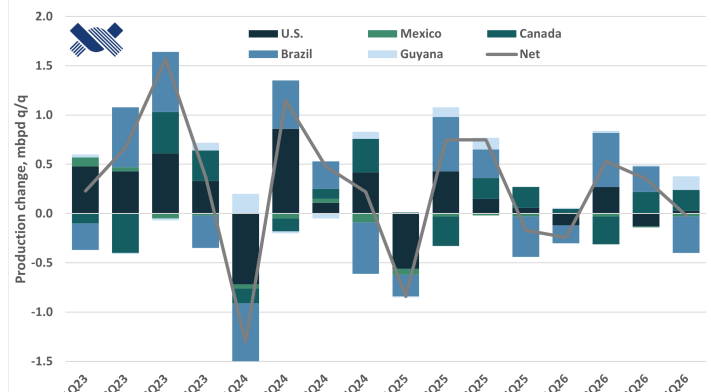
Irrespective of OPEC, there is sufficient crude oil supply growth this year to support solid tanker demand growth. As has been the trend for a number of years already, oil supply grows in the West, while demand grows in the East. This year, the vast majority of Americas oil production growth is likely to come offshore, and most of it in Brazil and Guyana where four out of five scheduled FPSOs are now on field. This suggests export volumes should start to pick up within the next few months.

## 2024-26 annual oil demand/supply growth by region



Source: IEA, EIA

## Quarterly Americas crude oil production growth

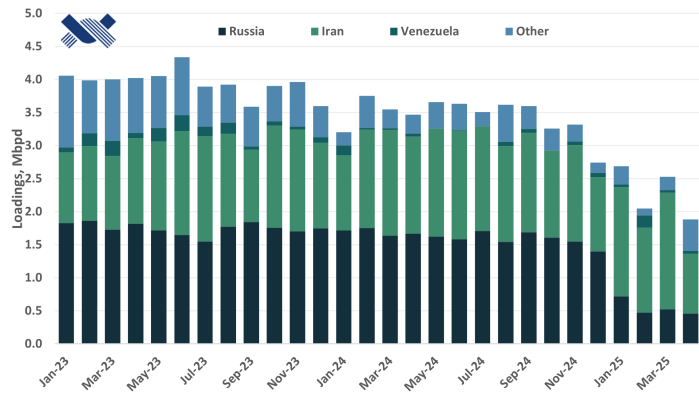


A big part of the recent Suez- and Aframax outperformance vs. VLCCs has been driven by sanctions, where the OFAC listed fleet is no longer active in Russia, and alternatives have had to be found. Urals trade well below the G7 price cap, and as a result more compliant tonnage has entered into the Russia trade to enjoy high rates.

On top of that, more CPC exports on Suezmaxes has been shipped to Asia, boosting tonne-miles substantially. As long as these two factors hold, rate outperformance may also hold.

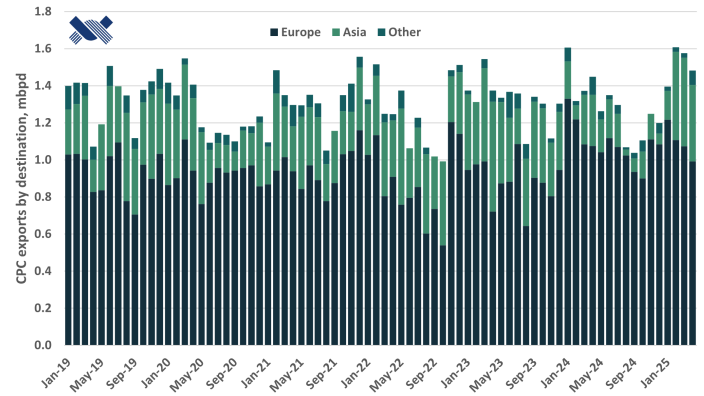


## Loadings on OFAC listed vessels



Source: Vortexa

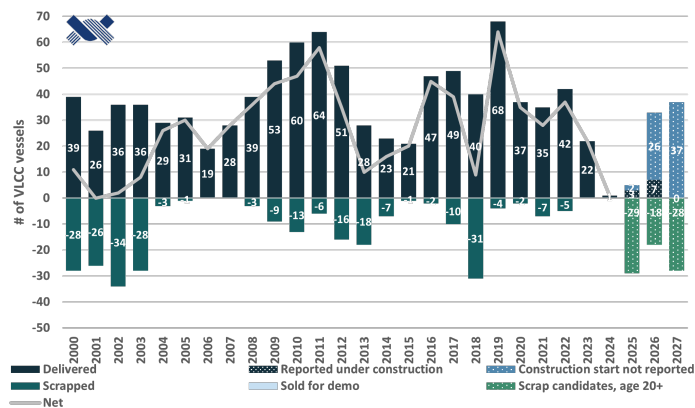
## CPC exports by destination



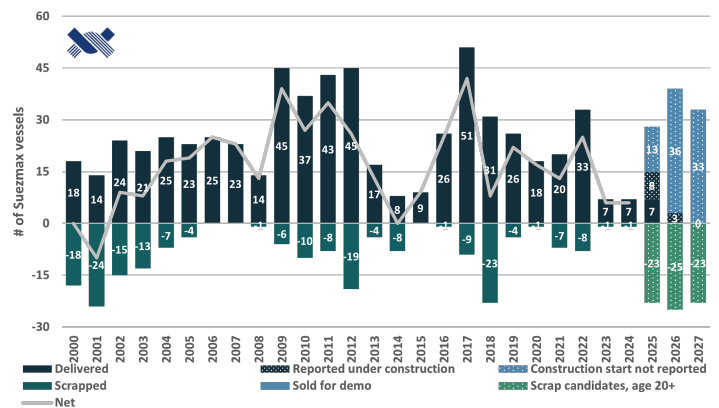
## Fleet development

While deliveries are set to pick up this year, the overall delivery tally is still relatively low in a historical context. Next year fleet growth will pick up further, which coupled with lower demand growth potential means a gradually softening tanker market balance.

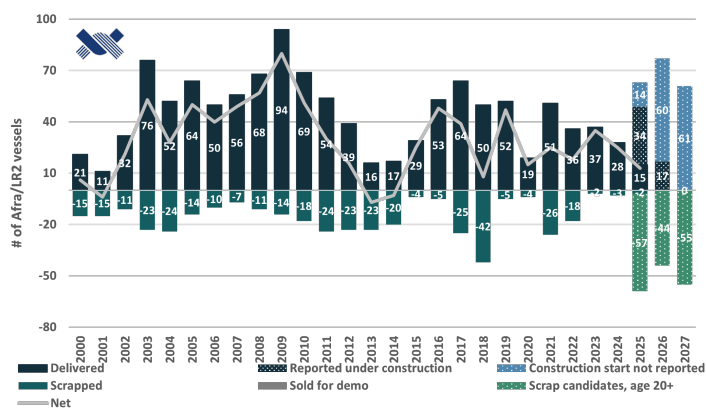
### VLCC annual deliveries and phase-out



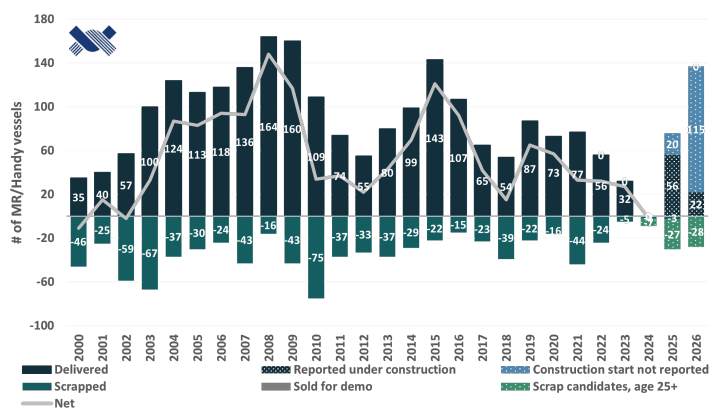
### Suezmax annual deliveries and phase-out



### Afra/LR2 annual deliveries and phase-out



### MR/Handy annual deliveries and phase-out



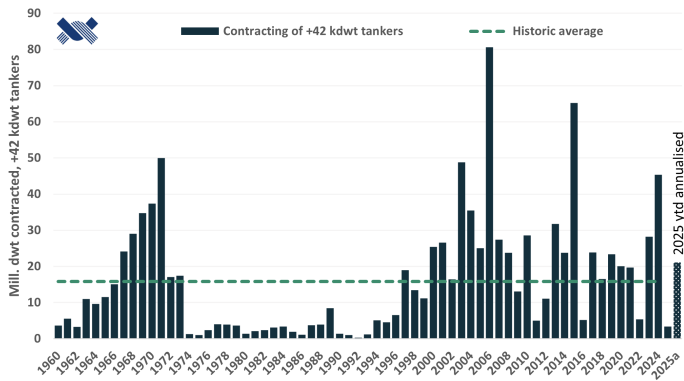
Source: Fearnleys

Ordering has picked up slightly, or the reporting of orders has, so that the annualised ordering pace YTD is slightly above the historical average. It does seem like ordering interest is much lower than over the last couple of years, so unless

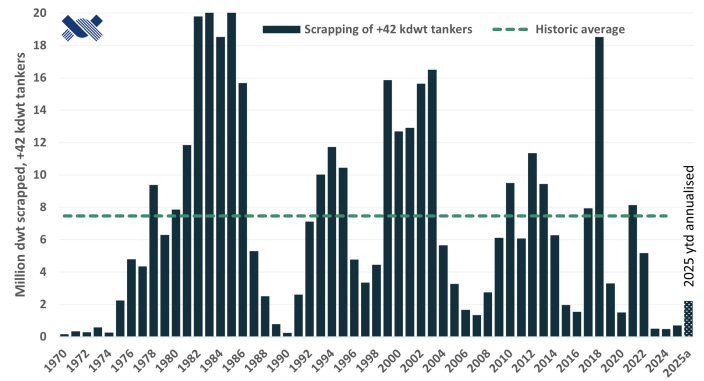
yards meaningfully drop prices, there should not be another wave this year. Given relatively long backlogs, however, there should not be an urgency for yards to do that..

Scrapping has also picked up somewhat vs. the last couple of years, and given reports of plenty more vessels sold or offered for scrap there should be more to come, despite continued strong rates. The real decider for scrapping pace this year will likely be whether waivers are given for sanctioned vessels to be scrapped... It is at least interesting to note the relatively high interest for 2005-10 built VLCCs and Suezmaxes from 'undisclosed buyers,' which may suggest a renewal of the shadow fleet may be in the cards.

## Annual tanker orders, +42k dwt



## Annual tanker demolition, +42k dwt



Source: Fearnleys



# Disclaimer

## 1. Introduction

The statistical and graphic information set forth in the analysis is compiled by Fearnresearch and based on the databases and time series supplied by Fearnresearch, the research division of Fearnleys AS, and other external sources of information. Fearnresearch compiles, processes and publishes data for the benefit of the brokering departments of Fearnleys AS and its clients. Its methodologies for collecting data, and therefore the data collected, may differ from those of other sources, and its data do not reflect all or even necessarily a comprehensive set of actual transactions occurring in the market. Certain estimates may be based on prevailing market conditions. There can be no assurance that such data reflect actual market conditions.

Data compilation, especially for earlier historical periods, is subject to limited audit and validation procedures. Both closed and open sources, interviews and market intelligence to gain information on different topics may be used. Accordingly, there can be no assurance as to the accuracy or completeness of the estimates, advice, statements and any other information contained in the analysis.

## 2. Risks

Research coverage of Fearnleys AS encompasses solely companies within the shipping sector. This sector is cyclical by nature and will over time presumably experience higher volatility than the overall market.

## 3. Confidentiality

Pursuant to Fearnleys' Code of Conduct, all employees of Fearnleys AS are subject to duty of confidentiality towards clients and with respect to handling inside information. All employees shall follow strict information handling procedures and other organizational procedures to minimize conflicts of interest within Fearnleys and between clients.

## 4. General Disclaimer of Liability

The analyses, estimates, advice, statement and any other information contained in the analysis are prepared and presented in good faith. However, neither Fearnresearch, Fearnleys AS nor any of their subsidiaries, associated companies, organisations, management personnel, employees, agents or independent contractors (collectively the "Fearnley Interests") shall under any circumstances be under any liability for any losses, damages or costs caused to any person, company or other legal entity arising or resulting directly or indirectly from reliance on any inaccurate, incorrect, incomplete or misleading analyses, estimate, advice, statement or any other information contained in the analysis resulting directly or indirectly from any negligent or gross negligent act(s) or omission (s), or wilful misconduct, committed by any of the Fearnley Interests.

In the event that a court or tribunal, notwithstanding the above liability exemptions, should hold any, some or all of the Fearnley Interests liable in damages for any inaccurate, incorrect, incomplete or misleading analyses, estimate, advice, statement or any other information, the liability shall not under any circumstances whatsoever exceed in total ten (10) times the fees payable for the analysis in question, or US\$ 100,000 (United States Dollar Hundred Thousand), whichever is the higher.

Under no circumstances whatsoever shall the individual or individuals who have caused the losses, damage or costs be held personally responsible or liable in any way. The Fearnley Interests shall under no circumstances whatsoever be liable for punitive damages.

The analysis is prepared to the benefit of the named addressee only. No other third party may rely on the analysis or any of its content without prior written approval of Fearnley Consultants AS.

Should any part of this clause be held unenforceable, non-operative or invalid by a court or tribunal, the remaining parts shall remain in full force.

## 5. Processing of Personal Data

The processing of personal data within Fearnleys AS is subject to strict rules and regulations. Our Privacy Policy describes the procedures for processing personal data according to the General Data Protection Regulation (GDPR). Please see our homepage for more information on this.

---

### Fearnleys AS

Dronning Eufemias gate 8  
0191 Oslo  
Norway  
+47 22 93 60 00

An Astrup Fearnley Company